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Unsealed
1-11-94

UNITED STATES DISTRICT COURT
SOUTHERN DISTRICT OF CALIFORNIA

May 1993 Grand Jury

UNITED STATES OF AMERICA,

Plaintiff,

v.

HAROLD J. SHERBONDY, Jr.,
aka Jay Sherbondy

Defendant.

Criminal Case No.

'931605 H

I N D I C T M E N T

Title 18, U.S.C., Sec. 1343 -
Wire Fraud; Title 18, U.S.C.,
Sec. 1956(a)(1)(B)(i) -
Laundering Monetary Instruments;
Title 18, U.S.C., Sec. 1957 -
Money Laundering; Title 15,
U.S.C., Secs. 80b-6
and 80b-17 - Investment Advisor
Fraud; Title 26, U.S.C.,
Sec. 7206(1) - False Tax Return;
Title 18, U.S.C., Sec. 2 -
Aiding and Abetting

The grand jury charges:

INTRODUCTORY ALLEGATIONS

At all relevant times herein:

1. Article 1, Section 8 of the Constitution of the United States grants the Federal Government the "Power to lay and collect Taxes, Duties, Imposts and Excises." This power is augmented through the 16th Amendment which approves the institution of a

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PLBH:bct:San Diego
12/10/93

1 federal income tax. Pursuant to this taxing power, the Department
2 of the Treasury is authorized to collect and monitor the
3 collection of a federal income tax.

4 2. The Internal Revenue Service [hereafter referred to as
5 the "IRS"] is the agency of the Department of Treasury
6 specifically assigned the task of collecting and monitoring the
7 collection of the federal income tax.

8 3. In carrying out its assigned task, the IRS is
9 specifically authorized to examine whether an individual has
10 failed to declare income legitimately earned. In addition, the
11 IRS is also charged with the responsibility of examining whether
12 an individual has failed to declare income that may have been
13 illegally obtained. This type of "illegal income" may come from
14 a wide variety of various sources, such as Ponzi schemes.

15 4. A Ponzi scheme is a fraudulent arrangement in which
16 investors are attracted by the lure of exorbitant profits that can
17 be made by participation in the scheme. The operator of the
18 scheme maintains and promotes this bogus concept by making
19 payments of seemingly large profits to early investors from monies
20 obtained from later investors, rather than from any "profits" of
21 the underlying business venture.

22 5. In other words, the fraud consists of funnelling the
23 funds received from new investors to previous investors in the
24 guise of profits from the alleged business venture. In this
25 manner, the operator of the scheme cultivates an illusion that a
26 legitimate profit-making business opportunity exists. This, in
27 turn, attracts additional investors to the Ponzi scheme.

1 6. Generally, the operator of a Ponzi scheme utilizes the
2 investor funds for personal enrichment, investing only a minimal
3 portion of the total funds, if any, in an underlying business
4 venture. As the scheme is predicated upon these fraudulent
5 practices, its very nature dictates that it must eventually
6 collapse.

7 7. At all times relevant hereto, the defendant HAROLD J.
8 SHERBONDY, Jr, aka H. Jay Sherbondy, aka H.J. Sherbondy, aka Jay
9 Sherbondy [hereafter referred to as "Jay Sherbondy"] was operating
10 a Ponzi scheme involving, among others, a group of investors
11 called The Meredith Group, Inc, aka The Merideth Group, Inc.

12 8. Defendant JAY SHERBONDY orchestrated the formation of
13 The Meredith Group, Inc. [hereafter referred to as "The Meredith
14 Group"] in order to solicit new investor funds for the Ponzi
15 scheme. The Meredith Group was incorporated in Nevada as an
16 investment club. The club was composed primarily of employees and
17 former employees of Pacific Southwest Airlines [hereafter referred
18 to as "PSA"].

19 9. The principals of The Meredith Group were Jim Hulum, a
20 PSA pilot, and his wife, Loraine Hulum. In addition to investing
21 their own funds, the Hulumms operated The Meredith Group from
22 their residence in Fallbrook, California. In return for a
23 management fee, the Hulumms, among other things, directed the wire
24 transfer of Meredith Group funds from their residence in Fallbrook
25 to various bank accounts controlled by the defendant.

26 10. In operating the Ponzi scheme, defendant Jay SHERBONDY
27 also utilized a number of corporations, including The Consortium
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1 Corporation, Inc., The Compass Investment Group, Inc., and The
2 Joshua Group, Inc. These corporations assisted, in among other
3 things, operating, disguising and concealing defendant's illegal
4 activity.

5 11. Defendant JAY SHERBONDY formed and was the chief
6 executive officer of The Consortium Corporation, Inc. [hereafter
7 referred to as "Consortium"], a Nevada Corporation. Consortium
8 was purportedly formed by the defendant as a vehicle to invest
9 clients' money in the financial markets.

10 12. Defendant JAY SHERBONDY also directed one of his
11 employees to form The Compass Investment Group, Inc. [hereafter
12 referred to as "Compass"], an Illinois corporation. Compass was
13 purportedly formed as a vehicle to invest clients' money on the
14 Chicago Mercantile Exchange. The defendant directed the
15 disposition of the funds deposited with Compass from his residence
16 in Fallbrook, California.

17 13. Defendant JAY SHERBONDY was also instrumental in the
18 formation of The Joshua Group, Inc. [hereafter referred to as
19 "Joshua"], a Nevada corporation. Joshua was purportedly formed as
20 a personal holding company for Sherbondy family assets. The
21 defendant's wife was the President and sole stockholder of Joshua.

22 14. At all times relevant herein, the defendant and his wife
23 resided in Fallbrook, California.

24 THE SCHEME TO DEFRAUD

25 15. Beginning in or about March 1987 and continuing up to
26 and including January 1993, within the Southern District of
27 California and elsewhere, defendant JAY SHERBONDY knowingly and
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1 willfully devised a scheme and artifice to defraud and to obtain
2 money from investors in The Meredith Group by means of false and
3 fraudulent pretenses, representations and promises.

4 METHODS AND MEANS OF THE ILLEGAL SCHEME

5 16. It was a part of defendant's scheme and artifice to
6 defraud that he made various false and fraudulent representations
7 in order to solicit funds from various investors. These false
8 representations included, but were not limited to, the following:

- 9 (1) JAY SHERBONDY was an extremely wealthy
10 international financier;
11 (2) JAY SHERBONDY's father was an international
12 businessman who headed a multi-million dollar trust
13 and had contacts with organized crime;
14 (3) JAY SHERBONDY was currently investing money for
15 both the Teamster's and the Teacher's Credit
16 unions;
17 (4) JAY SHERBONDY was on the board of directors of the
18 Rolex Corporation;
19 (5) JAY SHERBONDY made enormous sums of money investing
20 his in-laws' money;
21 (6) JAY SHERBONDY owned a bank in England and a
22 mortgage company in Texas; and
23 (7) JAY SHERBONDY typically only invested funds for
24 extremely large corporations.

25 17. It was a further part of defendant's scheme and artifice
26 to defraud that he attracted investors by living a lavish
27 lifestyle. Among other things, the defendant utilized a corporate
28 jet to conduct business, claimed to have numerous business
transactions in Europe and bragged about the enormous extent of
his assets.

1 18. It was a further part of defendant's scheme and artifice
2 to defraud that he told Jim and Loraine Hullum that he would
3 invest their money only as a personal favor. In this regard, the
4 defendant falsely claimed that he would have to deposit their
5 money into his personal account because it was such a minute
6 portion of his overall portfolio.

7 19. It was a further part of defendant's scheme and artifice
8 to defraud that (on or about March 6, 1987) he accepted a \$100,000
9 cashier's check from Jim and Loraine Hullum. Although he claimed
10 that this money was invested trading Deutchmark bonds, he
11 deposited the funds in a recently opened bank account at First
12 Interstate Bank of Nevada.

13 The Meredith Group

14 20. It was a further part of defendant's scheme and artifice
15 to defraud that he prevailed upon the Hullums to form a
16 corporation called The Meredith Group, Inc., in order to solicit
17 additional investment funds from others. Based on defendant's
18 urgings, they then contacted various PSA employees regarding
19 SHERBONDY's proposal.

20 21. It was a further part of defendant's scheme and artifice
21 to defraud that he informed The Meredith Group that it would have
22 to trade through his personal account until it could raise
23 \$1,000,000. The defendant explained this unusual arrangement by
24 falsely claiming that the type of securities he was purchasing
25 were sold only in \$1,000,000 blocks. According to defendant, he
26 would be investing The Meredith Group funds in the bond market.

1 22. It was a further part of defendant's scheme and artifice
2 to defraud that he directed the Hullums and The Meredith Group to
3 transfer the funds to The Joshua Group, The Consortium
4 Corporations and various personal bank accounts. In this method,
5 he received (between June 1987 and January 1988) over \$250,000
6 based on the false representations that he would invest The
7 Meredith Group's money in the bond market.

8 23. It was a further part of defendant's scheme and artifice
9 to defraud that he would not invest the funds entrusted to him by
10 The Meredith Group on the bond market. Rather, he purloined these
11 funds and expended them on general business and personal matters,
12 such as buying a Mercedes Benz and a Rolex watch, constructing a
13 barn, funding home improvements, repaying credit card bills, and
14 making deposits on real estate being purchased for his own use.

15 24. It was a further part of defendant's scheme and artifice
16 to defraud that he produced fraudulent account statements
17 incorrectly showing that the investors were making huge profits by
18 investing in the bond market. These statements detailed enormous
19 profits that The Meredith Group investors were allegedly making as
20 a result of defendant's investments in both U.S. Treasury and
21 Deutchmark bonds.

22 25. It was a further part of defendant's scheme and artifice
23 to defraud that prior to his fraud being uncovered, he told The
24 Meredith Group that bonds no longer remained an attractive
25 investment.
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COMPASS INVESTMENT GROUP

26. It was a further part of defendant's scheme and artifice to defraud that in order to attract further investment, he informed The Meredith Group that enormous profits could still be made by investing in commodities on the Chicago Mercantile Exchange. In fact, the defendant told The Meredith Group that they could still realize large profits by allowing him to invest their funds on the Mercantile Exchange using his company and personal commodities trader.

27. It was a further part of defendant's scheme and artifice to defraud that he formed The Compass Investment Group as an Illinois corporation to trade commodities on the Chicago Mercantile Exchange. Defendant then hired an experienced securities dealer for Compass by falsely claiming he would allow the dealer to trade millions of dollars of SHERBONDY's family assets.

28. It was a further part of defendant's scheme and artifice to defraud that he received (between January 1988 and August 1989) over \$800,000 from The Meredith Group based on his false representations that he would invest this money on the Mercantile exchange. Defendant received these funds by directing The Meredith Group to transfer some of its investment funds to the Compass bank account in Illinois.

29. It was a further part of defendant's scheme and artifice to defraud that he failed to invest the overwhelming majority of the funds entrusted to him on the Chicago Mercantile Exchange. Instead, the defendant subsequently directed his trader to

1 transfer hundreds of thousands of dollars of Meredith funds to
2 bank accounts controlled by the defendant. Defendant concealed
3 and disguised this illegal activity from his trader by telling him
4 that he was only transferring the Meredith funds into Compass to
5 create expenses for tax purposes. When his trader sought further
6 explanation, defendant told him that it was none of the trader's
7 business what SHERBONDY did with his money.

8 30. It was a further part of defendant's scheme and artifice
9 to defraud that he would eventually use the funds obtained from
10 The Meredith Group for general business and personal expenses,
11 such as repaying credit card bills and personal loans, giving
12 money to his family, funding home improvements, buying jewelry,
13 funding his business associates and paying off non-related legal
14 expenses.

15 31. It was a further part of defendant's scheme and artifice
16 to defraud that he concealed his illegal conduct from the
17 investors by producing fraudulent statements incorrectly showing
18 that the investors were making huge profits. In addition, he
19 discouraged investors from removing their money by: (1) claiming
20 the groups profits would have been substantially higher if not for
21 investor withdrawals; (2) threatening not to handle any further
22 group investments; and (3) entering a management agreement
23 prohibiting funds from being removed for a period of at least one
24 year.

25 32. It was a further part of defendant's scheme and artifice
26 to defraud that if investors insisted on removing their funds, he
27 would repay them with the amount of interest he had told the other
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1 investors he was making. In this fashion, defendant attempted to
2 keep present investors in (and lure new investors to) the scheme.

3 RETIREMENT ("IRA") INVESTMENTS

4 33. It was a further part of defendant's scheme and artifice
5 to defraud to obtain Individual Retirement Account [hereafter
6 referred to as "IRA"] funds generated by the buy-out of PSA by
7 U.S. Air. Among other ways, defendant solicited these additional
8 funds by telling The Meredith Group that he could obtain IRS
9 approval to invest the former PSA employees buy-out profits on the
10 Chicago Mercantile exchange in a tax free 401K (IRA) account.

11 34. It was a further part of defendant's scheme and artifice
12 to defraud that he misled investors by alleging that he was
13 working on obtaining IRS approval. Eventually, in order to
14 continue to solicit new IRA investments, defendant falsely claimed
15 that he had finally received IRS approval to invest the buy-out
16 profits in a 401K approved plan.

17 35. It was a further part of defendant's scheme and artifice
18 to defraud that when he could no longer continue to attract
19 sufficient new investors, he attempted to conceal and disguise his
20 illegal activity by falsely informing investors that he was
21 suddenly experiencing large losses on the Chicago Mercantile
22 Exchange.

23 DISGUISE AND CONCEALMENT

24 36. It was a further part of defendant's scheme and artifice
25 to defraud that he failed to maintain accurate and complete
26 records of investor funds in order to conceal and disguise his
27 illegal activity. Similarly, defendant failed to provide his
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1 accountant with the pertinent records and information necessary to
2 accurately calculate his income.

3 37. It was a further part of defendant's scheme and artifice
4 to defraud that he failed to file corporate income tax returns in
5 order to disguise and conceal his illegal activity. In the same
6 manner, defendant also filed false and fraudulent personal income
7 tax returns that did not accurately reflect his true income.

8 WIRE TRANSACTIONS

9 38. On or about the dates listed below (Column "A"), within
10 the Southern District of California and elsewhere, defendant JAY
11 SHERBONDY, for the purpose of executing the aforesaid scheme and
12 artifice to defraud and obtain money, knowingly caused to be
13 transmitted by means of wire in interstate commerce, the sums
14 indicated below (Column "B") in the manner noted below (Column
15 "C"):

16 17 18 19 20 21 22 23 24 25 26 27 28	<u>COUNT</u>	<u>(A)</u> <u>DATE</u>	<u>(B)</u> <u>SUM</u>	<u>(C)</u> <u>ROUTE</u>
	1	12/13/88	\$ 15,748.26	Wire transfer from Meredith Group account at the First Interstate Bank of Nevada [hereafter referred to as "FIBN"] to Compass American National Bank [hereinafter referred to as "ANB"] account in Illinois
	2	12/16/88	\$ 6,033.04	Wire transfer from Meredith Group account at FIBN in Nevada to Compass ANB account in Illinois
	3	12/20/88	\$100,000.00	Wire transfer from Meredith Group account at FIBN in Nevada to Compass ANB account in Illinois

	<u>COUNT</u>	<u>(A) DATE</u>	<u>(B) SUM</u>	<u>(C) ROUTE</u>
3	4	1/31/89	\$ 68,012.58	Wire transfer from Meredith Group account at FIBN in Nevada to Compass ANB account in Illinois
5	5	2/23/89	\$ 15,000.00	Wire transfer from Meredith Group account at FIBN in Nevada to Compass ANB account in Illinois
8	6	3/17/89	\$ 3,298.69	Wire transfer from Meredith Group account at FIBN in Nevada to Compass ANB account in Illinois
11	7	4/26/89	\$ 50,000.00	Wire transfer from Jim Kennington's personal bank account at Torrey Pines Bank in California to Compass ANB account in Illinois
14	8	6/21/89	\$ 10,000.00	Wire transfer from Meredith Group account at FIBN in Nevada to SHERBONDY'S personal bank account at La Jolla Bank & Trust in California
17	9	7/31/89	\$ 7,000.00	Wire transfer from the Meredith Group account at FIBN in Nevada to Compass ANB account in Illinois
20	10	8/29/89	\$ 14,612.39	Wire transfer from Meredith Group account at FIBN in Nevada to Compass ANB account in Illinois
23	11	9/6/89	\$ 2,000.00	Wire transfer from Compass ANB account in Illinois to Dennis Lindeman's personal bank account at the Bank of America in California

All in violation of Title 18, United States Code, Sections 1343 and 2.

Counts 12 through 34

INTRODUCTORY ALLEGATIONS

1. Paragraphs 1 through 14 and 16 through 37 of Count 1 are hereby realleged and incorporated by reference as if set forth in full herein.

2. Federal law prohibits individuals from conducting financial transactions knowing that the property involved in those transactions represents the proceeds of some form of specified unlawful activity when the individual also knows that the transaction was designed in whole or in part to conceal and disguise the nature, location, source, ownership and control of such proceeds.

3. The term "transaction" includes, among other things: (1) the deposit or withdrawal of any monetary instruments (including personal, corporate and bank checks) to or from any financial institution; (2) the wire transfer of funds between bank accounts; and (3) a purchase involving the use of a financial institution.

4. The term "specified unlawful activity" includes, among other things, wire fraud.

5. The term financial transaction includes, among other things: any transaction which affects interstate commerce by: (1) moving funds by wire; or (2) involves the use of a financial institution which is engaged in interstate commerce in any way or degree.

6. The financial transactions alleged in these counts consist of the negotiation of funds specified below in Column "B" in the manner indicated below in Column "C".

7. On or about the dates listed below (Column "A"), within the Southern District of California and elsewhere, knowing that the property involved in a financial transaction represented the proceeds of some form of unlawful activity, defendant JAY SHERBONDY, did knowingly conduct such a transaction (which in fact involved proceeds of wire fraud), with the knowledge that this transaction was designed in whole or in part to conceal and disguise the nature, location, source, ownership and control of such proceeds:

<u>COUNT</u>	<u>(A) DATE</u>	<u>(B) SUM</u>	<u>"C" TRANSACTION</u>
12	12/14/88	\$ 20,000.00	Wire transfer from Compass ANB account in Illinois to SHERBONDY'S ANB personal checking account in Illinois
13	12/16/88	\$ 14,577.06	Wire transfer from Compass ANB account in Illinois to SHERBONDY'S ANB personal checking account in Illinois
14	12/16/88	\$ 20,748.26	Wire transfer from Compass ANB account in Illinois to SHERBONDY'S ANB personal checking account in Illinois
15	12/16/88	\$ 35,422.94	Wire transfer from Compass ANB account in Illinois to First American Financial Group account at Old Stone Bank in Rhode Island
16	12/16/88	\$100,000.00	Wire transfer from Compass GNP account in Illinois to the Compass ANB checking account in Illinois
17	12/16/88	\$ 50,000.00	Cash withdrawal from Compass ANB account in Illinois

	<u>COUNT</u>	<u>(A)</u> <u>DATE</u>	<u>(B)</u> <u>SUM</u>	<u>"C"</u> <u>TRANSACTION</u>
1				
2				
3	18	12/17/88	\$ 16,299.42	The issuance of a check from SHERBONDY'S ANB personal checking account in Illinois to the IRS
4				
5	19	12/17/88	\$ 2,500.00	The issuance of a check from SHERBONDY'S ANB personal checking account in Illinois to Harry J. Sherbondy
6				
7				
8	20	12/19/88	\$ 6,033.04	Wire transfer from Compass ANB account in Illinois to SHERBONDY'S ANB personal checking account in Illinois
9				
10	21	12/19/88	\$ 8,307.00	The issuance of a check from SHERBONDY'S ANB personal checking account in Illinois to Finnells Jewelers
11				
12				
13	22	12/20/88	\$ 5,000.00	Wire transfer from SHERBONDY'S ANB personal checking account in Illinois to Julie Sherbondy's Home Saving account in California
14				
15				
16	23	12/28/88	\$ 1,439.06	The issuance of a check from SHERBONDY'S ANB personal checking account in Illinois to Fireman's Fund in payment of an insurance bill
17				
18				
19	24	12/28/88	\$ 3,840.60	The issuance of a check from SHERBONDY'S ANB personal checking account in Illinois to Manufacturers Hanover in payment of a credit card bill
20				
21				
22	25	1/31/89	\$ 13,000.00	The depositing of a Meredith Group check issued to H. JAY SHERBONDY at his Home Savings of America personal account in Fallbrook, California
23				
24				
25	26	2/1/89	\$ 25,000.00	Cash withdrawal from Compass ANB account in Illinois
26				
27				
28				

<u>COUNT</u>	<u>(A) DATE</u>	<u>(B) SUM</u>	<u>"C" TRANSACTION</u>
27	2/1/89	\$ 9,525.98	Wire transfer from Compass ANB account in Illinois to SRG Construction Inc. account at North County Bank in California
28	2/23/89	\$ 10,000.00	The depositing of a Meredith Group check issued to H. JAY SHERBONDY at his Bank of America account in Fallbrook, California
29	2/27/89	\$ 40,000.00	The issuing of a Meredith Group check to H. JAY SHERBONDY drawn on FIBN in Nevada
30	3/9/89	\$ 45,000.00	Wire transfer from Compass ANB account in Illinois to Jim Kennington's personal bank account at Torrey Pines Bank in California
31	4/5/89	\$ 2,500.00	Wire transfer from Compass ANB account in Illinois to his wife's personal bank account at Bank of America in California
32	4/13/89	\$ 45,000.00	Wire transfer from Compass ANB account in Illinois to JAY SHERBONDY's personal bank account at Bank of America in California
33	5/4/89	\$ 40,397.21	Wire transfer from Compass ANB account in Illinois to Jim Kennington's personal bank account at Torrey Pines Bank in California

All in violation of Title 18, United States Code, Sections 1956(a)(1)(B)(i), and Title 18, United States Code, Section 2.

Count 34 through 48

1. Paragraphs 1 through 14 and 16 through 37 of Count 1 are hereby realleged and incorporated by reference as if set forth in full herein.

2. Federal law prohibits individuals from knowingly engaging in financial transactions in criminally derived property that is of a value greater than \$10,000 and is derived from specified unlawful activity.

3. The term "transaction" includes, among other things: (1) the deposit or withdrawal of any monetary instruments (including personal, corporate and bank checks) to or from any financial institution; (2) the wire transfer of funds between bank accounts; and (3) a purchase involving the use of a financial institution.

4. The term "specified unlawful activity" includes, among other things, wire fraud.

5. The term financial transaction includes, among other things: any transaction which affects interstate commerce by: (1) moving funds by wire; or (2) involves the use of a financial institution which is engaged in interstate commerce in any way or degree.

6. On or about the dates listed below (Column "A"), within the Southern District of California and elsewhere, knowing that the property involved in a monetary transaction specified below (Column "B") represented the proceeds of some form of unlawful activity, defendant JAY SHERBONDY, did knowingly engage in such monetary transaction (which in fact involved proceeds of a wire fraud scheme) in the manner indicated below (Column "C"):

<u>COUNT</u>	<u>(A)</u> <u>DATE</u>	<u>(B)</u> <u>SUM</u>	<u>"C"</u> <u>TRANSACTION</u>
35	12/14/88	\$ 20,000.00	Wire transfer from Compass ANB account in Illinois to SHERBONDY'S ANB personal checking account in Illinois

1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20	21	22	23	24	25	26	27	28
	<u>COUNT</u>	<u>(A)</u> <u>DATE</u>	<u>(B)</u> <u>SUM</u>	<u>"C"</u> <u>TRANSACTION</u>																							
	36	12/16/88	\$ 14,577.06	Wire transfer from Compass ANB account in Illinois to SHERBONDY'S ANB personal checking account in Illinois																							
	37	12/16/88	\$ 20,748.26	Wire transfer from Compass ANB account in Illinois to SHERBONDY'S ANB personal checking account in Illinois																							
	38	12/16/88	\$ 35,422.94	Wire transfer from Compass ANB account in Illinois to First American Financial Group account at Old Stone Bank in Rhode Island																							
	39	12/16/88	\$ 50,000.00	Cash withdrawal from Compass ANB account in Illinois																							
	40	12/16/88	\$100,000.00	Wire transfer from Compass GNP account in Illinois to the Compass ANB checking account in Illinois																							
	41	12/17/88	\$ 16,299.42	The issuance of a check from SHERBONDY'S ANB checking account in Illinois to the IRS																							
	42	1/31/89	\$ 13,000.00	The depositing of a Meredith Group check issued to H. JAY SHERBONDY at his Home Savings of America personal account in Fallbrook, California																							
	43	2/1/89	\$ 25,000.00	Wire transfer from Compass ANB account in Illinois to Law, Snakard & Gambil bank account at Texas American Bank in Texas																							
	44	2/23/89	\$ 10,000.00	The depositing of a Meredith Group check issued to H. JAY SHERBONDY at his Bank of America account in Fallbrook, California																							
	45	2/27/89	\$ 40,000.00	The issuing of a Meredith Group check to H. JAY SHERBONDY drawn on FIBN in Nevada																							

<u>COUNT</u>	<u>(A) DATE</u>	<u>(B) SUM</u>	<u>"C" TRANSACTION</u>
46	3/9/89	\$ 45,000.00	Wire transfer from Compass ANB account in Illinois to Jim Kennington's personal bank account at Torrey Pines Bank in California.
47	4/13/89	\$ 45,000.00	Wire transfer from Compass ANB account in Illinois to JAY SHERBONDY's personal bank account at Bank of America in California
48	5/4/89	\$ 40,397.21	Wire transfer from Compass ANB account in Illinois to Jim Kennington's bank account at Torrey Pines Bank in California

All in violation of Title 18, United States Code, Section 1957, and Title 18, United States Code, Section 2.

Count 49

1. Paragraphs 1 through 14 and 16 through 37 of Count 1 are hereby realleged and incorporated by reference as if set forth in full herein.

2. In order to regulate the sale of securities and protect the public from fraudulent investment schemes, the Securities and Exchange Commission [hereafter referred to as the "SEC"], provides for the registration and regulation of "investment advisors".

3. An individual is acting as an investment advisor if he is: (1) engaging (for compensation) in the business of advising others as to the value of securities; or (2) issuing or performing analyses or reports concerning securities as part of his regular business activities.

4. Beginning in or about March 1987 and continuing at least until August 1989, within the Southern District of California and

1 elsewhere, defendant JAY SHERBONDY, while acting as an investment
2 advisor, did knowingly and willfully employ a scheme and artifice
3 to defraud, and engage in a course of business which operated as
4 a fraud or deceit upon his clients and perspective clients, in
5 violation of the Investment Advisors Act of 1940, Title 15, United
6 States Code, Sections 80b-6 and 80b-17.

7 5. On or about April 26, 1989, within the Southern District
8 of California and elsewhere, defendant JAY SHERBONDY, for the
9 purpose of executing the scheme and artifice to defraud and obtain
10 money (detailed in Count 1), knowingly caused \$50,000 to be
11 transmitted by means of wire from Jim Kennington's personal bank
12 account at Torrey Pines Bank in California to the Compass ANB
13 account in Illinois; all in violation of Title 15, United States
14 Code, Sections 80b-6 and 80b-17 and Title 18, United States Code,
15 Section 2.

16 Count 50

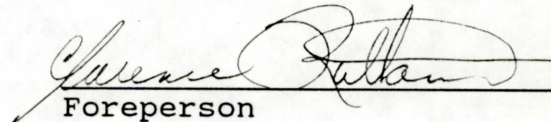
17 On or about April 14, 1988, in the Southern District of
18 California, defendant JAY SHERBONDY did willfully make, subscribe
19 and file with the IRS, a U.S. Individual Income Tax Return (Form
20 1040) for the 1987 tax year, verified by a written declaration
21 that it was made under penalty of perjury, which he knew was
22 materially false in that, among other things, it under reported
23 his income by failing to report approximately \$2,000,000 in
24 additional income; all in violation of Title 26, United States
25 Code, Section 7206(1), and Title 18, United States Code,
26 Section 2.

Count 51

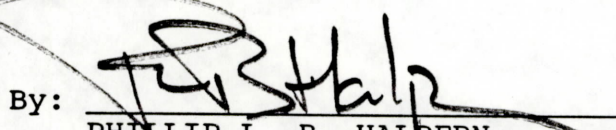
On or about October 15, 1989, in the Southern District of California, defendant JAY SHERBONDY did willfully make, subscribe and file with the IRS, a U.S. Individual Income Tax Return (Form 1040) for the 1988 tax year, verified by a written declaration that it was made under penalty of perjury, which he knew was materially false in that, among other things, it under reported his income by failing to report approximately \$200,000 in additional income; all in violation of Title 26, United States Code, Section 7206(1), and Title 18, United States Code, Section 2.

DATED: December 10, 1993.

A TRUE BILL:


Foreperson

ALAN D. BERSIN
United States Attorney

By: 
PHILLIP L. B. HALPERN
Assistant U.S. Attorney